

Step 2 : Do a 5-forces analysis of the Business (or Industry/Market) landscape

(a) The five forces are shown in the above PC landscape.

(b) Each force has a set of determinants that determine the strength of the force

see column 2 of Table 1 of the Competitive Strategy handout (on Canvas) for a list of key determinants

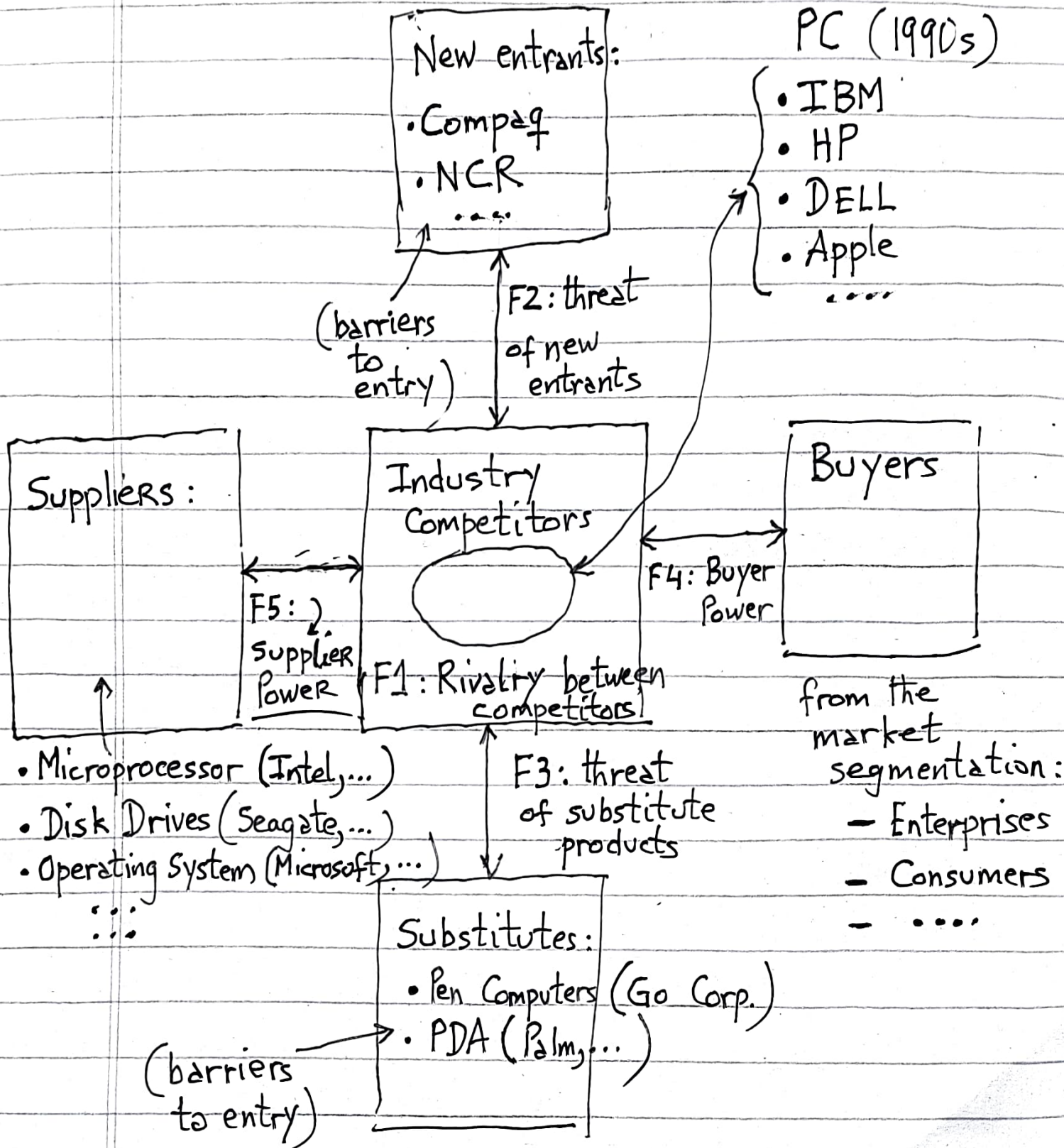
(c) Determine the qualitative strength of each force : → (Low, Medium, High)

Column 3 of Table 1 shows the qualitative strength of each force in the PC industry

(d) Determine the attractiveness of the industry based on the cumulative or total strength of the five forces

Business or Industry/Market Landscape for

Example : Personal Computers ($\approx 1990s$)



Terminology :

Industry : examples are consumer electronics industry, automobile industry, health-care industry,

An industry consists of groups of players (or companies) : competitors, new entrants, suppliers, substitutes

Market : customers needed to create and sustain the industry

2. Business / Competitive Strategy

Problem Statement :

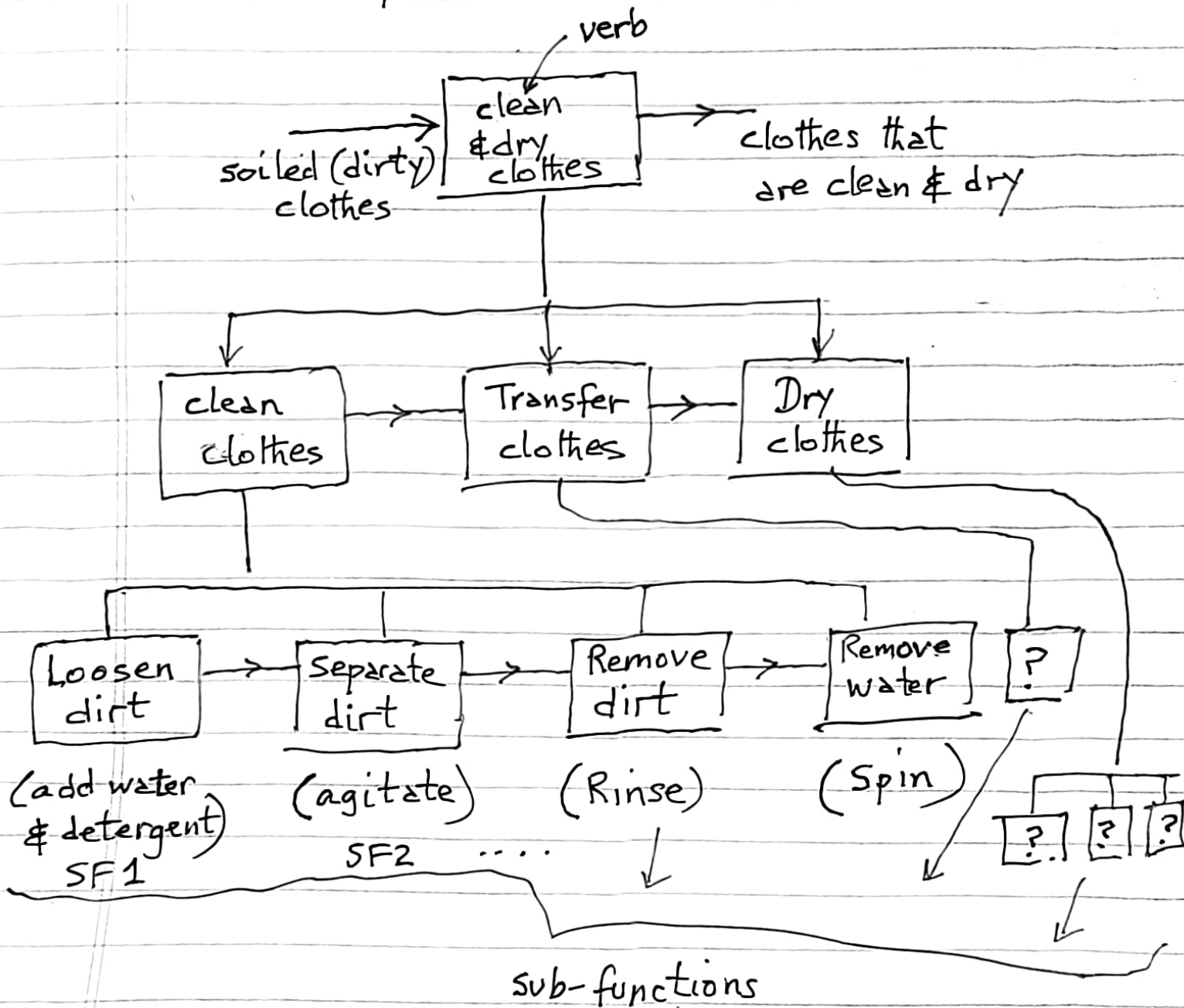
- (i) How do we characterize the business landscape in which a particular company (in our case, the start-up) operates?
- (ii) How attractive is this landscape to the players (in the space)?
- (iii) What are the competitive strategies of the companies (or firms or players) operating in the business landscape?

Approach or Plan :

There are 3 steps in creating a business/competitive strategy

Step 1 : Create a map of the existing industry/market landscape using Porter's five-forces framework.

Function Structure for a combination washer dryer :



SF 1 SF 2 SF 3

1. HW # 2, Prob. 1

Combination Washer Dryer

Step 2 : Creating a Function Structure for
the washer dryer

- Dissect an existing washing machine &
an existing dryer $\Rightarrow$ FAST
 $\Rightarrow$ extract key functions & sub-functions



TIM 80C, Lecture #7 (4/21/2026)

Agenda:

1. HW #2, Prob 1 (continued)
2. Business/Competitive Strategy
3. HW #2, Prob. 2
4. Review of the Start-up process so far

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